

ECONOMY

LECTURES



**INDIAN ECONOMY - STATE OF VARIOUS SECTORS
AT THE TIME OF INDEPENDENCE**

MODULE - 7

INDIAN ECONOMY... ON THE EVE OF INDEPENDENCE

- 1 Indians had an independent economy before the arrival of the British.
- 2 The domination of Britisher's was for a period of 200 years.
- 3 The Britisher's policies protected and promoted their own interests.
- 4 Ultimately, India transformed into a supplier of raw materials and consumer of finished goods.
- 5 Overall, the policies of British favoured England.
- 6 Ultimately, in 1947 British transferred power back to India.
- 7 India inherited a crippled economy.

ECONOMY



LET US ANALYSE THE STATE OF VARIOUS SECTORS – AT THE TIME OF INDEPENDENCE

1 STATE OF AGRICULTURE SECTOR

2 STATE OF INDUSTRIAL SECTOR

3 STATE OF FOREIGN TRADE

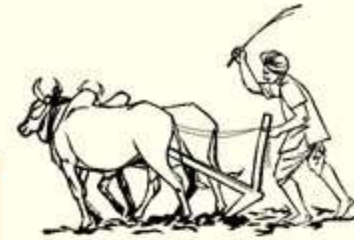
4 STATE OF OCCUPATIONAL STRUCTURE

5 STATE OF INFRASTRUCTURE

6 STATE OF DEMOGRAPHY

1

STATE OF AGRICULTURE SECTOR



NOTE: 85% of people dependent on agriculture either directly or indirectly.

- 1 Agriculture was the main source of livelihood for most people of India.
- 2 About 85% of the country's population lived in villages.
- 3 They derived livelihood directly or indirectly from agriculture.
- 4 In spite of 85% of the people dependent on agriculture, the sector faced stagnation and constant deterioration.

Let us look at the reasons for stagnation and constant deterioration



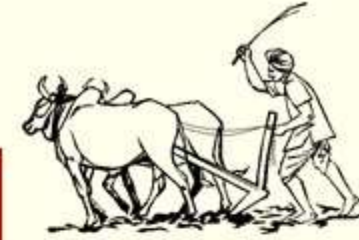
INDIA



ENGLAND

1

STATE OF AGRICULTURE SECTOR



REASONS FOR DETERIORATION OF AGRICULTURE SECTOR

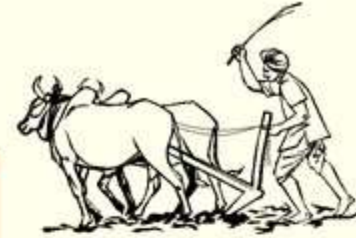


1 Low level of productivity. The **output per hectare of land** was very low.

2 No effort was made by the **British government** to provide a permanent source of irrigation and **agriculture** was vulnerable to climatic factors and affected by erratic rainfall.

1

STATE OF AGRICULTURE SECTOR



REASONS FOR DETERIORATION OF AGRICULTURE SECTOR

3

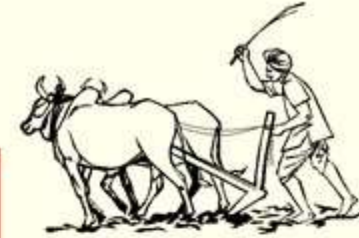
Britishers introduced Jamindari system and Jamindaries were recognized as permanent owners of the soil:

- They were to pay a **fixed sum to the government as land revenue.**
- They were absolutely **free to extract as much from the tillers of the soil** as they could.
- Their main interest was in **rent collection.**



1

STATE OF AGRICULTURE SECTOR



REASONS FOR DETERIORATION OF AGRICULTURE SECTOR

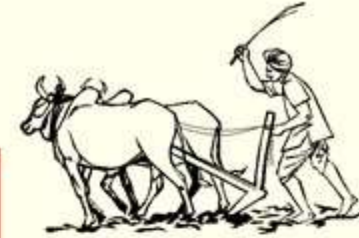
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- Similarly, there were two more systems **Ryotwari and Mahalwari** and in both the **cases** also farmers were exploited badly.
- Tillers were required to pay a huge amount of rent, which was known as “**Lagaan**” and they were **not left with any surplus to be able to provide for resources** needed in **agriculture** in the form of **fertilizers** or **providing for irrigation facilities**.
- This further lowered the **agricultural productivity**.



1

STATE OF AGRICULTURE SECTOR



REASONS FOR DETERIORATION OF AGRICULTURE SECTOR



5

Commercialization of agriculture took place and farmers were **producing cash crops like cotton, indigo in place of food crops**. This was ultimately to be used by the British industries.

ECONOMY

INDIGO DYE



- It is used as a dye for cotton yarn
- Ability to colour fabrics a deep blue
- Now synthetic dye is used

2

STATE OF INDUSTRIAL SECTOR



1

DECAY OF HANDICRAFT INDUSTRY

India during the pre-British period was well known for **handicraft industries** and they enjoyed **worldwide market** and the **British policy** led to the **decay of handicraft industry**.
The following three points are responsible for the decay of handicrafts:

1

Britishers followed a **discriminatory tariff policy** and allowed **tariff free exports of raw materials from India** and **tariff free import of British industrial products**. But they imposed a heavy duty on the export of handicraft products. In view of this policy, Indian handicraft products started losing their domestic as well as foreign markets.

2

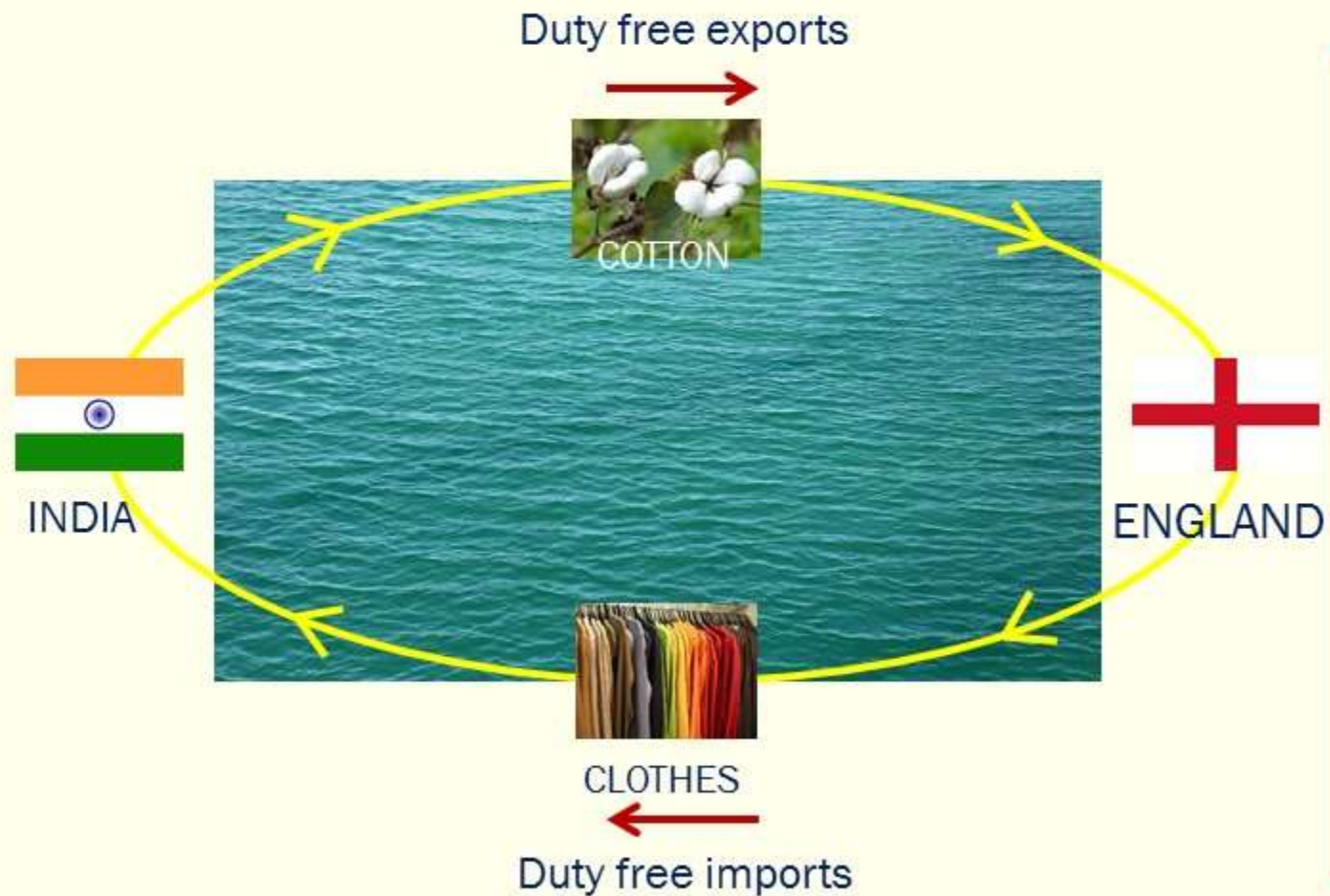
Machine made products from Britain were cheaper and better in quality than handicrafts.

3

Britishers introduced railways to expand the market of low priced industrial products.

The above three points led to the downfall of handicraft industry





Heavy duty on exports



Indian Handicrafts



2

STATE OF INDUSTRIAL SECTOR



2

SLOW GROWTH OF MODERN INDUSTRY

- 1 The state participation in the process of modern industrialization was very limited.
- 2 However, some cotton and jute textile mills came up during the second half of the 19th century and TISCO was incorporated in 1907 in Jamshedpur.
- 3 In public sector, Railways, Power, Post and Telegraph were given prominence basically to enlarge the size of market for British products in India.
- 4 No priority was given to the development of basic and heavy industries.
- 5 Industrial growth was lopsided and the consumer goods industry was not adequately supported by the capital goods industry.







British Government concentrated only on Railways, Power, Post and Telegraph, basically to serve their interests

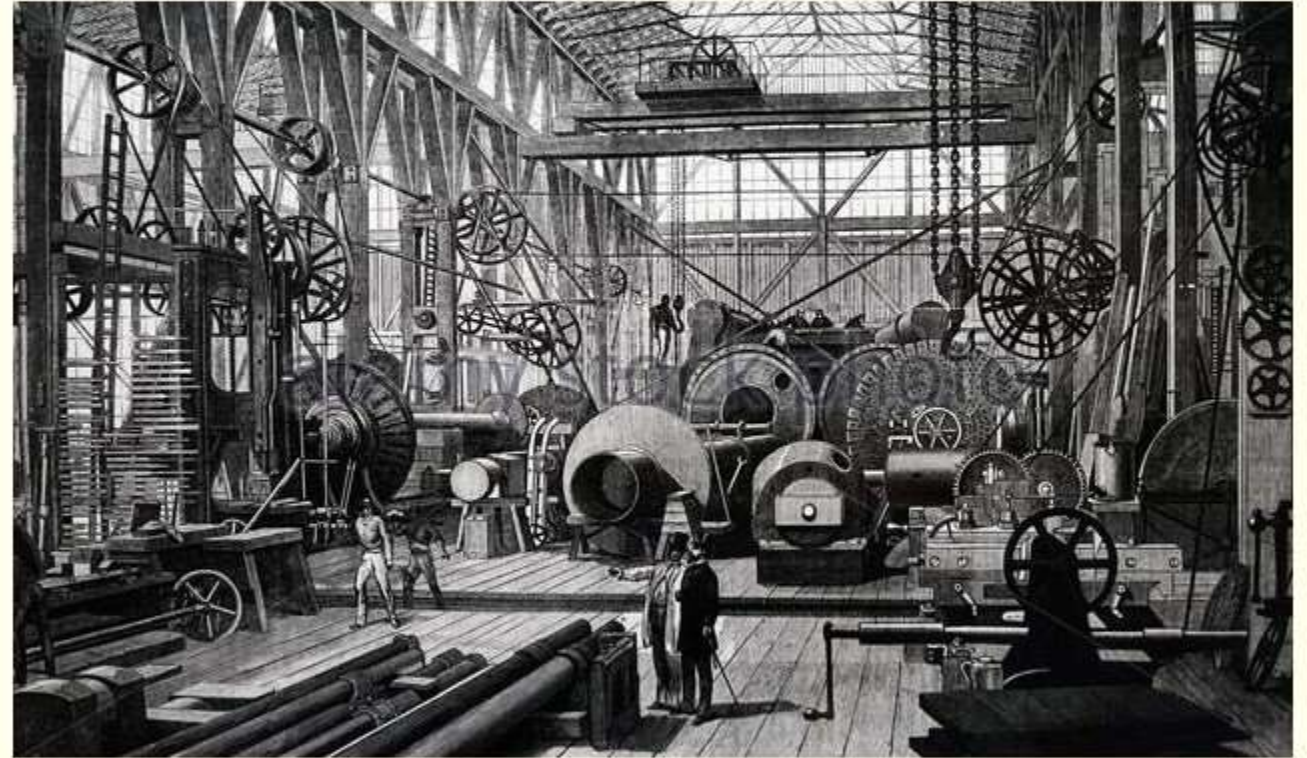
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STATE OF FOREIGN TRADE



1

Because of colonial rule, India became an exporter of primary products such as cotton, sugar, jute, indigo, raw silk and an importer of finished products like cotton, silk and woolen clothes and capital goods like heavy machinery produced in the factories of Britain.



British India received imports of heavy machinery from England

3

STATE OF FOREIGN TRADE



2

Britain maintained a near monopoly control over India's exports and imports and more than half of India's foreign trade was restricted to Britain. The opening of Suez canal in 1869 further intensified British control over India's foreign trade.

3

STATE OF FOREIGN TRADE



3

British colonial period generated a large export surplus. But, this surplus came at a huge cost in the country's economy and several essential commodities like food grains, kerosene were scarcely available in the domestic market and the export surplus was not used in any developmental activity of India and this was used to maintain the administrative set up of the Britishers and the expenses of wars fought by Britain and this led to drain of Indian wealth.

4

STATE OF OCCUPATIONAL STRUCTURE



- 1 More than 85% lived in villages.
- 2 Agriculture sector accounted for the largest workforce and around 70-75% of the workforce was dependent on agriculture.
- 3 Manufacturing and services sectors accounted for around 10% and 15 to 20% of the workforce respectively.
- 4 Another point is growing regional variations. Parts of the then Madras Presidency, Maharashtra and West Bengal witnessed a decline in dependence of the workforce in agriculture sector and increase in manufacturing and services sectors.

5

STATE OF INFRASTRUCTURE



During the British period, **basic infrastructure like Railways, Ports and water transport and P&T were developed**. But the real motive behind this was not to provide basic amenities to the people, but to sub serve various colonial interests.

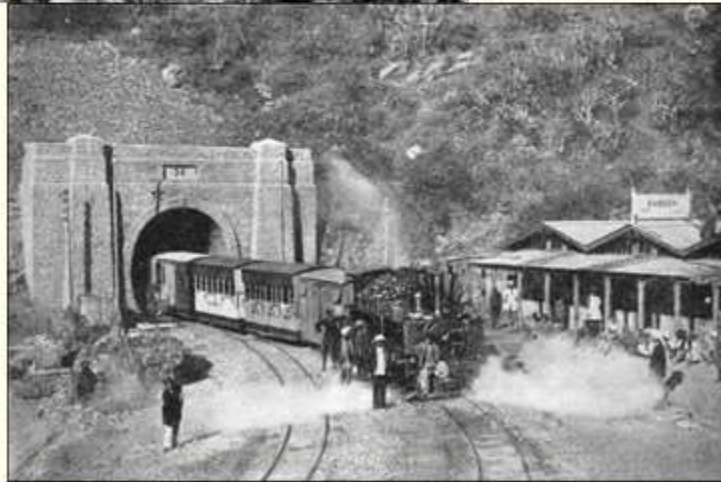
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ROADS

- Before independence, **roads were not fit for modern transport**. It was very difficult to reach rural areas during the rainy season.
- **Roads were built only to serve the purpose of mobilizing army within India and for transporting raw materials to the nearest railway station or port.**

5

STATE OF INFRASTRUCTURE



2

RAILWAYS

- British rulers introduced railways in India in 1850s and operations were started in 1853.
- It enabled people to undertake long distance travel and it resulted in breaking geographical and cultural barriers.
- It fostered commercialization of Indian agriculture and adversely affected the self sufficiency of the village economies.
- Hence, social benefits provided by the railways far outweighed by country's huge economic loss.

5

STATE OF INFRASTRUCTURE



3

WATER AND AIR TRANSPORT

- The development of water transport basically to **serve British colonial interests**.
- The colonial government also initiated the **aviation sector in 1932** with the **establishment of Tata Airlines**.



TATA AIRLINES 1932

5

STATE OF INFRASTRUCTURE



4

COMMUNICATIONS

- Modern postal system started in India in 1837.
- The first telegraph line was opened in 1850.
- The introduction of the expensive system of electric telegraph in India served the purpose of maintaining law and order by the British.

6

STATE OF DEMOGRAPHIC CONDITION



1 The population of British India was first collected through a Census in 1881 (Prior to that in 1872, they were held in different time periods).

2 Subsequent to 1921, the second stage of demographic transition started.

3 Because of high birth rates as well as high death rates neither the total population of India nor the rate of population growth from 1921 till 1951 was very high.

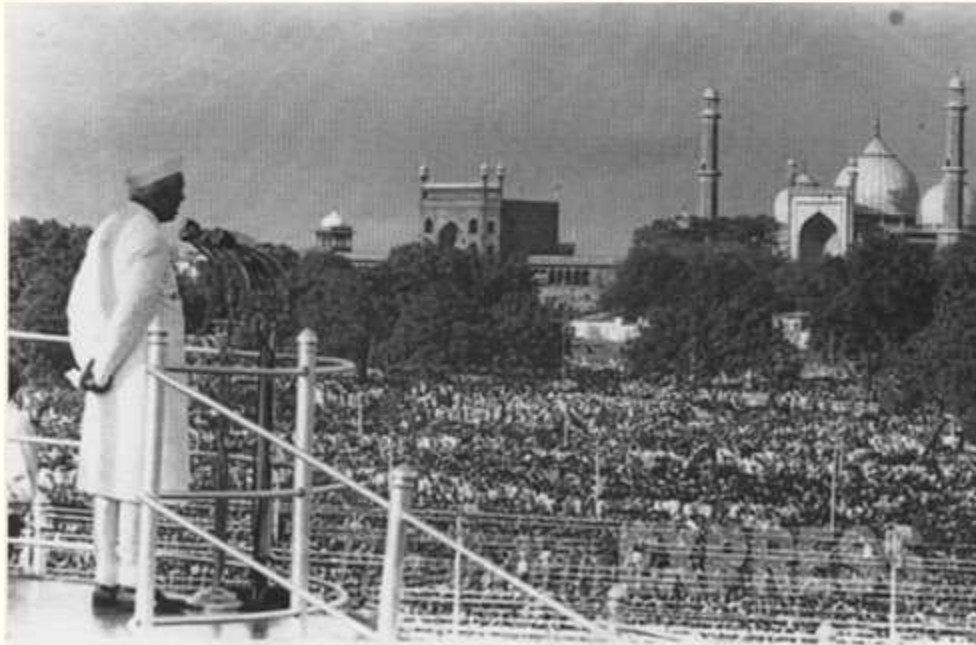
4 The overall literacy level was less than 16% and the female literacy was at around 7%.

5 Public health facilities were either unavailable or inadequate:

- Water and airborne diseases were rampant.
- Infant mortality rate was 218 per 1000 in comparison to 41 per 1000 at present.
- Life expectancy was also very low at 32 years, in contrast to present 68 years.
- Extensive poverty prevailed in India during the colonial period which contributed to the worsening profile of the Indian population of the time.



FINAL COMMENT



If one looks at all the above mentioned aspects, India inherited one of the worst ever colonial legacies and after independence, India followed the policy of socialistic pattern of governance with a focus on self reliance and equity.

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